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HEARD ON THE STREET

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A Big Smiley Face at Walmart

Giant retailer Walmart benefits from a solid economy, but strong online sales show investments in e-commerce are paying off

By Elizabeth Winkler

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Walmart's quarterly earnings beat expectations, including 40% growth in e-commerce sales. TIMOTHY FADEK/
BLOOMBERG NEWS

It's a good day in Bentonville. On Thursday, America's biggest retailer reported quarterly earnings that topped expectations, including 40% growth in its e-commerce sales. That is a welcome turnaround from February, when its e-commerce sales slowed to 23%, sending the stock toward its biggest one-day tumble since 1988. The question for investors: Is Walmart's good fortune due to improvements in its online operations, or simply to a strong consumer economy?

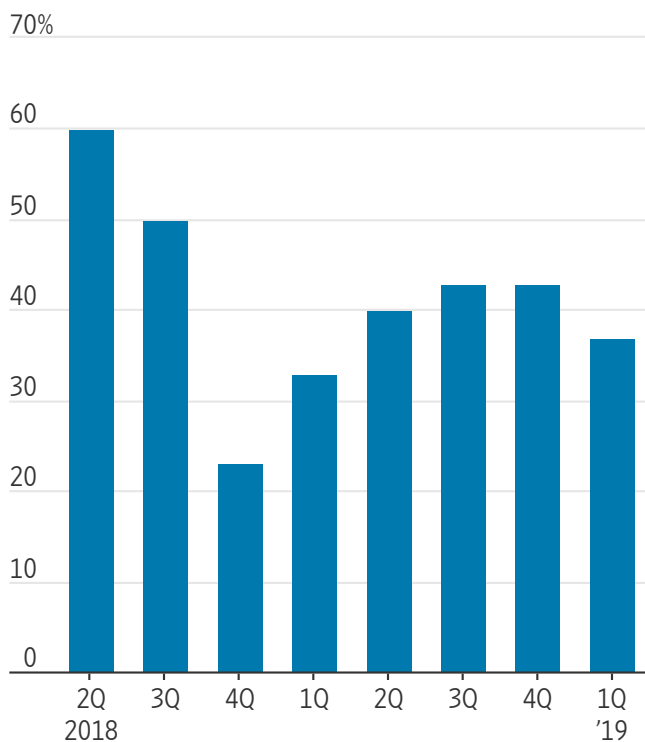
Earnings for the quarter reached \$1.29 a share, beating estimates of \$1.22 a share, and

revenue climbed 3.8% to \$128 billion over estimates of \$126 billion. Same-store sales increased 4.5%. Analysts had only expected an increase of 2.4%. That sent the stock up 10% in morning trading.

The company said more consumers were visiting its stores and spending more per trip. True, Walmart has freshened up stores, but a large proportion of the quarter's gain can be attributed to the economy. Investors clearly missed what appears to be obvious in hindsight.

Heating Back Up

Walmart's e-commerce sales growth, quarterly



Note: FY '19 began February 1, 2018.

Source: The company

Walmart does get credit for strong e-commerce numbers. In a call with analysts, Marc Lore, head of Walmart's U.S. e-commerce business, said the company has redesigned its website, which improved navigation. That has drawn in more brands, which are eager to partner with the giant retailer, and more consumers, who are driving up traffic. Walmart expects a 40% increase in e-commerce sales this year.

The company raised its earnings outlook for the year to between \$4.90 and \$5.05 a share, up from a range of \$4.75 to \$5 a share. (That excludes any impact from its pending acquisition of Flipkart, the Indian e-commerce company.)

The combination of a good economy and strong e-commerce sales should keep the shares aloft, at least for now. Retail stocks have been volatile as investors struggle to make sense of the sector. Just in the past two days, Walmart shares had one of their best days in a decade, Macy's, which also had good numbers, had its third-worst day on record, and J.C. Penney, which didn't do

so well, suffered its worst fall since at least 1972, according to Dow Jones Market Data.

Walmart and Macy's show an important contrast: Walmart was down all year and rose on good numbers, Macy's was up significantly this year and fell on good numbers. Investors are clearly jumping on what they see as the next big growth story.

The risk to Walmart is investors get too excited about growth. Or rising prices cut into profits despite rising sales. Walmart's expenses, particularly its purchase of Flipkart, may weigh on the stock. But those are worries for another day.